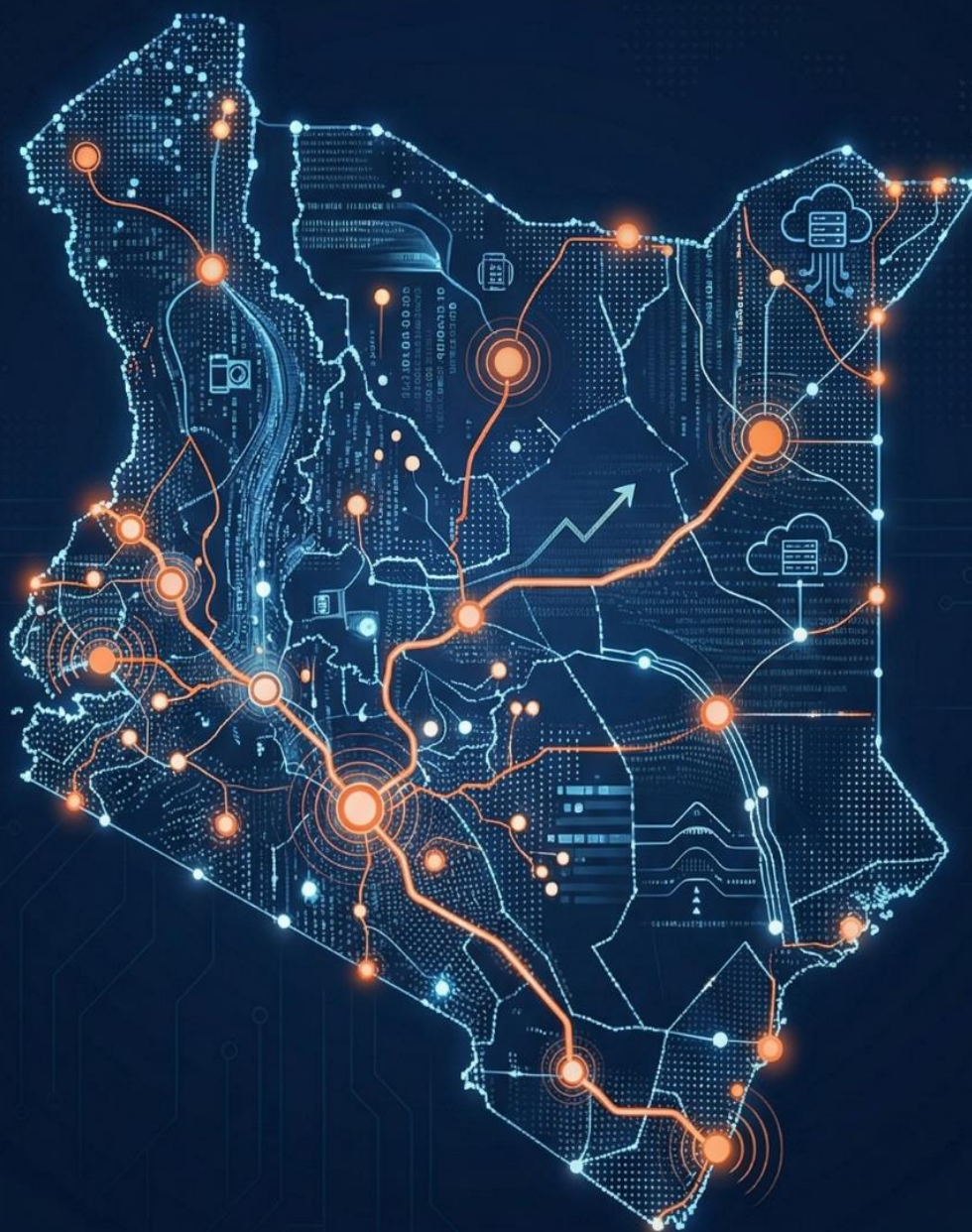


Kenya Digital Economy Sector Report 2026

Strategic Insights for Technology, Platforms,
Fintech, and Digital Infrastructure in Kenya



Econsult Africa

Prince Muraguri

Founder — Econsult Africa

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KENYA 2026

TECHNOLOGY & DIGITAL ECONOMY

INTELLIGENCE BRIEF

Kenya leads the world in ChatGPT adoption. One company contributes 8% of GDP. 40 million people use its platform monthly. This is the structural floor beneath the fragile stabilisation thesis.

Derived from the Kenya 2026 Economic Outlook | Econsult Africa Sector Intelligence Series

Contents

Section 1: Macro Context in 60 Seconds	4
Section 2: Sector Performance and Trajectory	5
Section 3: Policy and Regulatory Environment	8
Section 4: Risk Map	9
Section 5: Opportunity Map	11
Section 6: So What: Implications by Player Type	13
Section 7: Key Indicators to Watch	14
Section 8: References	15

Section 1: Macro Context in 60 Seconds

Forget GDP for a moment. Forget the shilling, the CBR, the fiscal deficit. If you want to understand why Kenya's economy does not collapse when everything else suggests it should, you need to understand one number: **8%**. That is the share of GDP that a single company's ecosystem, Safaricom, contributes through employment, taxation, supplier spending, and digital services (TechTrends Kenya, 2026b). One company. Eight percent. No other corporation in Africa occupies a comparable share of its national economy. That is the structural floor beneath Kenya's "fragile stabilisation," and it is why the Outlook identifies the technology and digital economy as the only sector that delivers positive growth under all four macro scenarios tested (Econsult Africa, 2026).

Consider the contrast. The Outlook projects 2026 GDP growth at 5.2%, built on a 2025 performance base that reveals sharp divergence across sectors. Agriculture contributed 1.2 to 1.3 percentage points but decelerated from 6.0% in Q1 2025 to 3.2% in Q3 as rainfall failed. Manufacturing limped along at roughly 2% through 2025. Construction boomed (+6.7% in Q3 2025) on pre-election spending that will cliff after August 2027. ICT, measured narrowly, grew 4.5-5.8% across the first three quarters of 2025 (Econsult Africa, 2026). But that number drastically undercounts the digital economy's true weight because it misses M-PESA (classified under financial services), digital lending (banking), e-commerce (retail), eTIMS (government), and Boma Yangu (housing). **The digital economy is not a sector. It is the connective tissue running through every other sector.**

Since the Outlook was completed: M-PESA hit 40 million monthly active customers in March 2026 (TechArena, 2026). Kenya raised \$984 million in startup funding in 2025, becoming Africa's number one, surpassing Nigeria for the first time (Techish Kenya, 2026). Safaricom's Ziidi platform won Best Fintech Innovation at Mobile World Congress 2026 in Barcelona (TechTrends Kenya, 2026a). And here is the statistic that should stop you: Kenya leads the world in ChatGPT usage at 42.1% of internet users aged 16+, surpassing the United States (Safaricom Newsroom, 2026). Not Silicon Valley. Not Singapore. Kenya.

This brief draws primarily on the Kenya 2026 Economic Outlook by Econsult Africa, supplemented by publicly available data through March 2026. Where more recent data updates the Outlook's figures, this is noted explicitly. All 2026 projections are forward-looking.

For the full macroeconomic analysis, see the Kenya 2026 Economic Outlook (<https://econsult.africa/kenya-2026>).

Section 2: Sector Performance and Trajectory

The Company That Became Infrastructure

M-PESA turned nineteen in March 2026. What started as a tool for repaying microloans now processes over 61 million transactions daily, serves 40 million monthly active users through 298,900 agents, and generated KSh 161.1 billion in revenue in FY2025, accounting for 41.5% of Safaricom's total (TechArena, 2026; TechTrends Kenya, 2026b; SDK Finance, 2026). Transaction volumes exceeded \$450 billion in 2025 (ConduitPay, 2026). To put that in perspective: M-PESA moves more money each year than the GDP of most African countries combined. It is no longer a product. It is national financial infrastructure.

The September 2025 Fintech 2.0 upgrade was the technical event that deserves more attention than it received. Safaricom migrated 35 million users to a cloud-native platform during off-peak hours. Transaction capacity jumped from 4,500 to 6,000 per second, with scaling to 12,000 during peak periods, and uptime held at 99.999% (Tech in Africa, 2026a). Graph neural networks, developed with Amazon Web Services, now detect fraud with 89% accuracy. The Zuri chatbot, powered by generative AI through Amazon Bedrock, handles complex queries for over 30 million users. These are not incremental improvements. They are the infrastructure beneath the next phase.

That next phase arrived in February 2026 with two launches that redefine what M-PESA is. Ziidi Trader, built with the Nairobi Securities Exchange and Kestrel Capital, lets M-PESA users buy shares and corporate bonds directly from their phones, starting with a single share, using a pooled fund model that eliminates the need for individual CDS accounts (Tech in Africa, 2026b). The Daraja 3.0 API platform opens M-PESA's rails to third-party developers, enabling anyone to build financial services inside the ecosystem. **The significance of Daraja 3.0 cannot be overstated: it transforms M-PESA from a closed product into an open operating system.** Safaricom is no longer just providing financial services. It is providing the platform on which others build them.



Figure 1: Technology Vital Signs Dashboard. All six KPIs coded blue — the only sector in the series with no red or orange indicators, confirming its role as the structural floor beneath the fragile stabilisation thesis.

The Funding Story Everyone Is Telling Wrong

Kenya raised \$984 million in 2025. A 52% increase. Number one in Africa, surpassing Nigeria for the first time (Techish Kenya, 2026). That is the headline. Here is what the headline hides. Eighty-two percent of that money went to five companies: d.light, Sun King, M-KOPA, Burn, and PowerGen. All five are in clean energy and infrastructure. Sixty percent of the total came as debt, not equity (Techish Kenya, 2026; TechAfrica News, 2026). The investors are not betting on the next consumer app. They are betting on physical assets: solar panels, batteries, electric buses, and distribution networks with predictable cash flows. BasiGo, assembling electric buses in Thika, deployed over 70 buses and secured \$60 million in funding for a target of 1,000 by 2027 (Tech in Africa, 2026c). M-KOPA operates one of Africa's largest smartphone assembly plants in Nairobi, producing over 2 million devices. This is not Silicon Valley-style venture capital. **This is infrastructure finance wearing a startup hat.**

And while the total rose, the number of Kenyan startups raising \$100,000 or more fell 23%, to just 75 ventures, the sharpest drop among Africa's Big Four markets (TechAfrica News, 2026). The ecosystem is getting deeper in dollar terms but narrower in breadth. Kenya's average deal size of \$6.9 million dwarfs Nigeria's \$1.6 million, confirming a more mature, scale-ready market, but the early-stage pipeline that produces tomorrow's d.lights is thinning. The story everyone should be telling is not "Kenya raised a billion dollars." The story is "Kenya is becoming an infrastructure financing hub that happens to be classified as tech."

Nairobi's gravity, meanwhile, continues to pull in global players. Microsoft's Africa Development Centre, Google's regional office, Visa's innovation studio (its first in Africa, joining London, Singapore, and San Francisco), and AWS training programmes all anchor the city's position (SDK Finance, 2026; Startup Genome, 2026). The Nairobi International Financial Centre (NIFC), launched alongside Q1 2024's \$482 million VC surge, formalises what is already happening: Nairobi is East Africa's financial and technology capital. In Q3 2025 alone, the city attracted \$536 million across 10 deals, representing 54.2% of all continental startup funding that quarter (StartupList Africa, 2025).

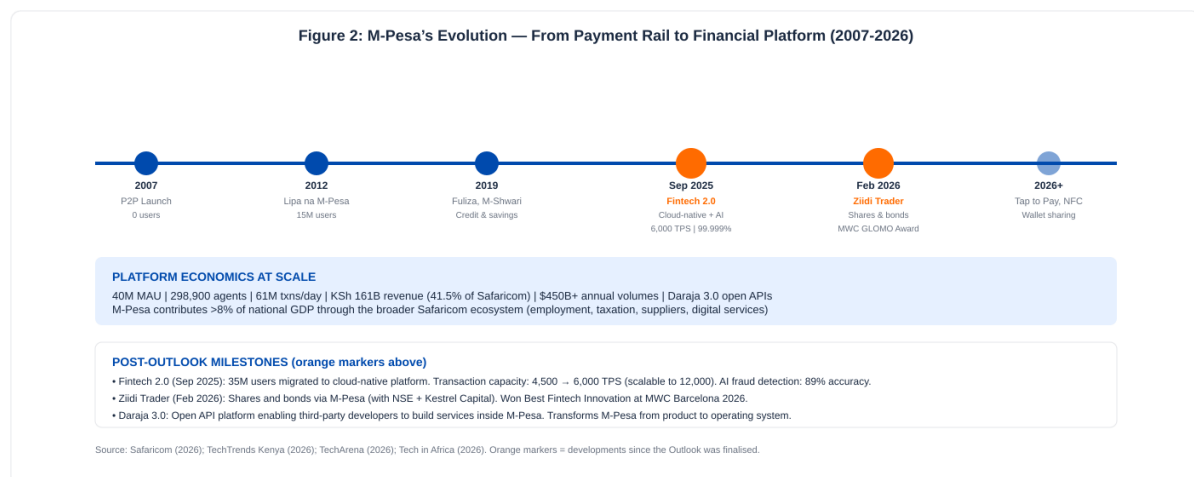


Figure 2: M-PESA's 19-year evolution from P2P transfers to a comprehensive financial platform. Orange markers show post-Outlook developments: Fintech 2.0 (Sep 2025) and Ziidi Trader (Feb 2026).

The AI Angle Nobody Saw Coming

Kenya, a country where 40% of the labour force farms, leads the world in ChatGPT adoption at 42.1% of internet users (Safaricom Newsroom, 2026). The reason is structural: a young,

mobile-first population that treats AI as a practical tool for education, content creation, entrepreneurship, and coding, rather than as a novelty. Safaricom is building on this. The company has committed \$500 million over three years to AI-ready infrastructure: the NBOX1 data centre in Nairobi at 22.5MW capacity, the largest in Greater East Africa, developed with iXAfrica (Tech in Africa, 2026a). Five thousand Safaricom employees have been trained in AI through partnerships with AWS, Huawei, and Google. In agriculture, FarmerAI delivers real-time crop insights. In financial services, graph neural networks detect M-PESA fraud at 89% accuracy. Microsoft has committed to training 1 million Kenyans in AI and cybersecurity by 2027 (Startup Genome, 2026). **The question is no longer whether Kenya will be a significant AI market. The question is whether anyone else in Africa can catch up.**

Section 3: Policy and Regulatory Environment

The Regulator's Dilemma: Protect the System Without Killing the Golden Goose

Kenya's digital economy regulatory framework is arguably the most sophisticated in Africa. The CMA sandbox encourages fintech innovation. The CBK engages directly with fintech companies rather than regulating from a distance. The Communications Authority oversees mobile operators with a light touch that has allowed M-PESA to scale without the heavy-handed intervention that has constrained mobile money in other markets (Econsult Africa, 2026; SDK Finance, 2026). In 2026, the CBK published Draft Virtual Asset Service Providers Regulations, signalling intent to bring cryptocurrency under formal oversight without banning it outright (CBK, 2026). The Startup Bill 2020, the Kenya Investment and Entrepreneurship Platform (KIEP), and the Fintech Association of Kenya together provide institutional architecture that most African countries lack.

But regulation is approaching an inflection point. The RBCPM reform, analysed in the Banking Brief, has profound implications for the digital economy: by requiring transparent, borrower-specific risk premiums published on the TCC portal, it structurally favours digital-first lenders with algorithmic credit scoring. A fintech publishing $K = 500bp$ will systematically outcompete a bank at $K = 700bp$. **The RBCPM is not just a banking reform. It is the regulatory catalyst that could tip Kenya's credit market toward digital dominance.**

The countervailing pressure comes from digital lending itself. Predatory practices, high interest rates, aggressive debt collection, and data privacy violations by some digital lenders have generated growing consumer backlash (SDK Finance, 2026). Kenya's Data Protection Act (2019) establishes a framework, but enforcement capacity and cross-border data flow rules remain works in progress. For the AI-intensive future Safaricom is building, the data governance framework will determine how aggressively firms can monetise 40 million users' data. Push too hard on consumer protection and you slow innovation. Push too lightly and you get a predatory lending crisis that poisons public trust in digital finance altogether.

Section 4: Risk Map

The most striking feature of this sector's risk profile is what is absent. **No risk occupies the high-probability, high-impact quadrant.** Every other sector has at least one: banking (RBCPM failure), agriculture (drought), energy (oil spike), manufacturing (AGOA), tourism (election cliff). The digital economy's risks are real but structurally more favourable (Econsult Africa, 2026).

Risk 1: Platform Concentration (Probability: Medium-High | Impact: Medium)

M-PESA's 93% mobile money penetration and 41.5% Safaricom revenue share creates a single point of failure. A major M-PESA outage does not just inconvenience users; it freezes the economy. Competition from Airtel Money and T-Kash remains limited. **Trigger:** Regulatory forced interoperability; a major system outage. **Early warning:** Competition Authority investigations; M-PESA availability dropping below 99.99%; political rhetoric targeting Safaricom's dominance. **Transmission:** Safaricom represents >8% of GDP; disruption cascades through the entire economy (FinTech Magazine, 2025; Econsult Africa, 2026).

Risk 2: Startup Funding Narrowing (Probability: Medium-High | Impact: Medium)

82% of \$984M went to five companies; startups raising \$100K+ fell 23% to 75 ventures. The ecosystem gets deeper but narrower. **Trigger:** Global VC pullback from African markets; climate tech cycle maturing without new champions. **Early warning:** Quarterly deal count below 15; seed-stage funding declining; average deal size inflating above \$10M. **Transmission:** Innovation pipeline that produces future d.lights is thinning. Kenya wins the funding race today but may lose the innovation race tomorrow (Techish Kenya, 2026; TechAfrica News, 2026).

Risk 3: Digital Lending Regulation (Probability: Medium | Impact: Medium)

Consumer backlash against predatory digital lending could constrain the broader ecosystem. **Trigger:** High-profile consumer harm; political pressure pre-election. **Early warning:** CBK policy statements; consumer complaint volumes; parliamentary hearings. **Transmission:** Digital credit drives M-PESA revenue (Fuliza, KCB M-PESA) and fintech models. Over-regulation compresses margins and slows financial inclusion (Econsult Africa, 2026; SDK Finance, 2026).

Risk 4: Safaricom Ethiopia Drag (Probability: Medium | Impact: Low-Medium)

USD 1,189 million invested without reaching profitability. **Trigger:** Further capital calls; Ethiopian regulatory delays; forex repatriation restrictions. **Early warning:** Quarterly subscriber growth in Ethiopia; management guidance on breakeven timeline. **Transmission:** Group profitability and dividend capacity; management attention diverted from Kenya's Fintech 2.0 and AI ambitions (Econsult Africa, 2026).

Risk 5: The Talent Paradox (Probability: Medium | Impact: Medium, structural)

Kenya trains world-class developers who are "exported" digitally via remote work. Dollar-denominated remote salaries price local startups out of the engineering talent market. **Trigger:** Remote salary inflation continues while KES-denominated startup wages stagnate. **Early warning:** Tech salary surveys showing 50%+ premium for remote international roles; startup hiring cycles lengthening. **Transmission:** Kenya's greatest asset becomes its binding constraint: the ecosystem's success in producing globally competitive talent accelerates the brain drain that weakens the domestic pipeline (Econsult Africa, 2026).

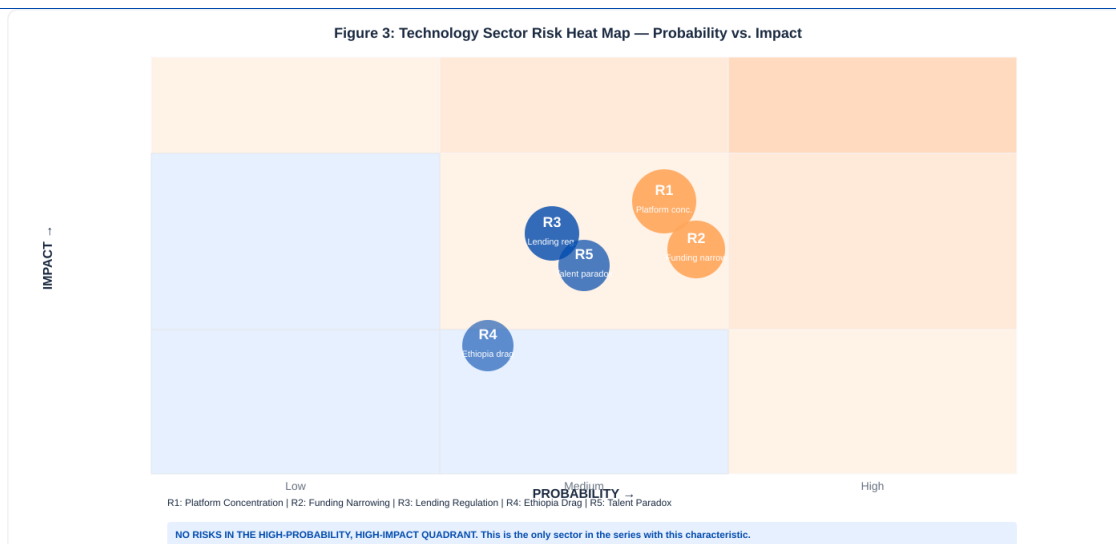


Figure 3: Risk Heat Map. No risks in the high-probability, high-impact quadrant — the only sector in the series with this characteristic, confirming the Outlook's classification as the structural floor.

Section 5: Opportunity Map

O1: Build on the Platform, Not Beside It

Thesis: Daraja 3.0 transforms M-PESA into an open platform. The winners over the next 3-5 years embed inside M-PESA's 40M-user infrastructure. **Evidence:** Ziidi Trader's February 2026 launch brought capital markets to M-PESA overnight; the MWC GLOMO Award validated the model globally; over 200 applicants competed for 10 spots in Safaricom's second accelerator cohort, with HealthX Africa growing subscribers 40% through integration and Chumz reaching 300,000 users and expanding to Rwanda (Tech in Africa, 2026a, 2026b; TechTrends Kenya, 2026a). **Risk:** Safaricom gatekeeping; regulatory forced open access. **Time horizon:** Medium-term, compounding as the platform effect strengthens.

O2: AI for African Problems, Built in Africa

Thesis: 42.1% ChatGPT adoption + \$500M Safaricom investment + NBOX1 (22.5MW, largest in Greater East Africa) + 5,000 AI-trained employees + Microsoft 1M training commitment = Africa's most advanced AI ecosystem. Build for African problems: crop disease detection, mobile money fraud prevention, credit scoring for the unbanked, Swahili NLP. **Evidence:** 89% fraud detection; FarmerAI; Zuri chatbot serving 30M users. **Risk:** Data governance uncertainty; compute costs; AI skills quality beyond Safaricom. **Time horizon:** Medium to long-term (Tech in Africa, 2026a; Safaricom Newsroom, 2026).

O3: Climate Tech Infrastructure-as-a-Service

Thesis: Five companies captured \$807 million by building asset-backed clean energy platforms with predictable cash flows. This is not VC as traditionally understood; it is infrastructure finance delivered through technology. The model combines commercial returns with measurable development impact — exactly the profile DFIs and impact investors fund at scale. **Evidence:** d.light's \$300M Mirova-led round; M-KOPA assembling 2M smartphones in Nairobi; BasiGo deploying 70+ electric buses; 82% of 2025 funding flowing to this category. **Risk:** Carbon market volatility; currency mismatch on dollar-denominated debt. **Time horizon:** Medium-term for platform returns; structural for the sector (Techish Kenya, 2026; StartupList Africa, 2025).

O4: The MSME Digital Gap

Thesis: Kenya has 7.4 million MSMEs, 84.8% financial inclusion, and yet only 4% of bank lending flows to agriculture. The gap between financial inclusion (having an M-PESA account) and financial empowerment (having access to credit, insurance, and productivity tools) is the largest addressable market in the digital economy. The RBCPM rewards digital lenders who price borrower risk transparently. **Evidence:** Safaricom accelerator prioritising SME tools; Equity disbursing 45% of MSME loans digitally; M-KOPA's smartphone assembly enabling device penetration for the next wave. **Risk:** Low willingness to pay; thin margins on micro-enterprise tools. **Time horizon:** Medium to long-term (Econsult Africa, 2026; Tech in Africa, 2026b).

Figure 4: Technology Sector Opportunity Windows, 2026-2030

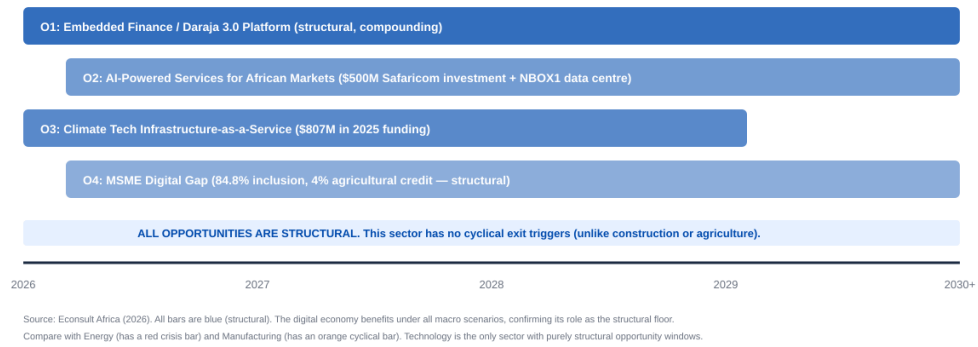


Figure 4: All opportunities structural (blue bars). No cyclical exit triggers. Compare with Energy (red crisis bar) and Manufacturing (orange cyclical bar). Technology is the only sector with purely structural windows.

Section 6: So What: Implications by Player Type

For Operators (tech companies, fintechs, digital platforms)

The decision is binary: build on M-PESA's platform or build against it. Daraja 3.0 makes the first option dramatically more attractive. Third-party developers who integrate gain access to 40 million users and 298,900 distribution points without building any of their own. Companies trying to compete with parallel infrastructure need a very specific thesis for why their distribution will be better than one that already processes 61 million transactions daily. **AI is the differentiation layer.** Graph neural networks for fraud, generative AI for customer service, machine learning for credit scoring — these capabilities separate winners from also-rans. **RBCPM means lenders who algorithmically price risk at lower K premiums will systematically win. Prepare for Ethiopia.** If Safaricom's \$1.2B investment works, every Kenyan M-PESA service has a deployment path into Africa's second-most-populous market.

For Investors (VC, PE, growth equity)

Safaricom equity is the best structural play in Kenya, full stop. 40M MAUs, 41.5% mobile money revenue, \$500M AI investment, platform model that compounds. The Outlook identifies it as the one sector benefiting under all scenarios. **Climate tech debt is the highest-returning asset class** in Kenya's startup ecosystem: \$807M to five companies with asset-backed cash flows. **Seed-stage caution warranted:** 23% decline in ventures raising \$100K+ signals thinning pipeline. The Nairobi International Financial Centre provides an institutional framework for scaling investment, but early-stage deal flow needs deliberate cultivation.

For Policymakers (MoICT, CBK, CMA, CA)

M-PESA is national infrastructure. Regulate accordingly — but do not break what works. A company contributing >8% of GDP requires oversight proportionate to systemic importance, but heavy-handed intervention risks the one sector that provides the structural floor. **Data governance is the AI bottleneck.** Clear rules on data portability, consent, and cross-border flows will determine whether Kenya's AI ambitions are achievable. The Draft VASP Regulations signal the right approach: bring new technologies under oversight without banning them. Apply this philosophy to AI governance before other regulators impose less favourable frameworks.

For Development Partners (DFIs, multilaterals)

Every dollar invested in digital infrastructure reaches more people faster than any physical infrastructure project. 84.8% inclusion, 93% mobile money penetration, 298,900 agents, 61M daily transactions — these are distribution rails that no other sector offers. Blended finance for climate tech startups, credit guarantees for digital lenders serving MSMEs, data governance technical assistance, and AI training programme co-financing all leverage existing infrastructure at scale. The early-stage funding decline (75 ventures down from 97) specifically warrants DFI attention: patient capital for seed-stage innovation is the market gap.

Section 7: Key Indicators to Watch

Indicator	Current Value	Trend	Threshold	Source	Freq.
M-PESA MAUs	40M (Mar 26)	▲ Growing	Stalls <38M 2 qtrs	Safaricom	Quarterly
Mobile money penetration	93% (Sep 25)	▲ Saturating	Forced interoperability	CA Kenya	Quarterly
M-PESA revenue (% Safcom)	41.5% (FY25)	▲ Rising	Ethiopia >15% of group	Safaricom	Semi-annual
Startup funding (annual)	\$984M (2025)	▲ Surging	Below \$500M; <50 deals	Various	Quarterly
ICT GDP growth	4.5-5.8% (2025)	↔ Maturing	Below 3% for 2 quarters	KNBS	Quarterly
Fintech 2.0 availability	99.999%	▲ Target met	Below 99.99% (systemic)	Safaricom	Continuous
Bandwidth utilisation	14,066 Gbps (Q3 25)	▼ Declined	Below 12,000	CA Kenya	Quarterly
AI/ChatGPT adoption	42.1% (16+)	▲ World leader	Regulatory restrictions	DataReportal	Annual
VC deal count (\$100K+)	75 (2025, -23%)	Narrowing	Below 50 full year	Partech/Briter	Quarterly
Digital lending NPLs	Elevated	↔ Monitoring	CBK intervention	CBK	Quarterly

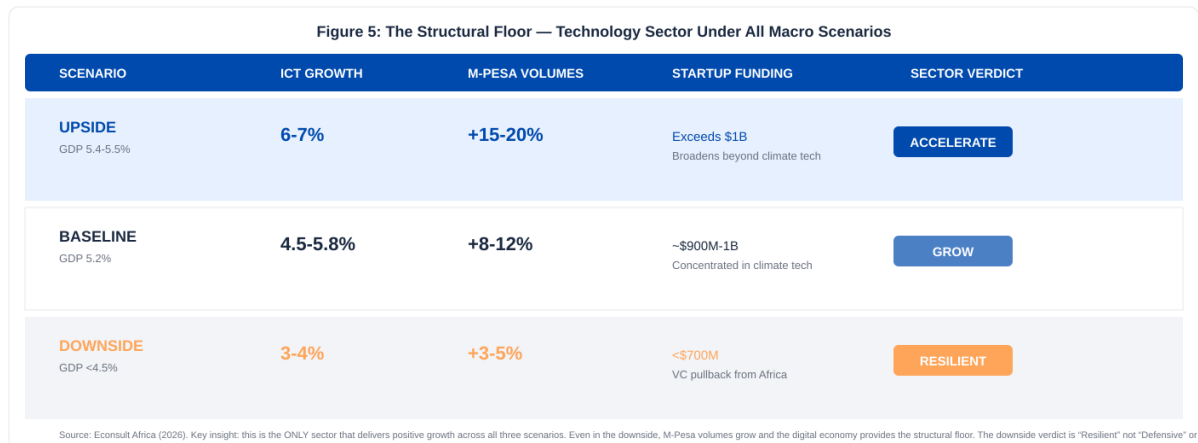


Figure 5: The Structural Floor. This is the ONLY sector delivering positive growth across all three scenarios. Even the downside verdict is “Resilient” — unique among all eight briefs.

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**Econsult Africa****Methodology**

This brief is derived from the Kenya 2026 Economic Outlook, a comprehensive macroeconomic assessment by Econsult Africa, supplemented by publicly available data through March 2026. All sources are cited in APA 7th edition format. All 2026 sector-level projections remain forward-looking assessments as at the date of publication.

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